Hyundai Motor (005380 KS)

3Q26 preview: forex poses greater risk than earnings

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BUY (M)

Target price	W410,000 (Down)
Previous target price	W570,000
Current price (Oct 08)	W324,500
Upside potential	26%

Market cap (Wbn)	66,025
Shares outstanding	262,884,502
Avg daily T/O (2M, Wbn)	251
Avg daily volume (2M, shrs)	635,872
52-week high/low (won)	750,000 / 217,000
Foreign ownership (%)	23.90%
Dividend yield (%)	0.00%
Major shareholders	Hyundai Mobis & others

Stock performance

(%)	1M	3M	12M
Absolute	(15.7)	(29.8)	47.5
Relative	(11.5)	(23.3)	(21.0)
Abs (US$)	(15.3)	(21.5)	54.3

3Q26 OP estimated at W1.98tn

We estimate sales at W43tn and OP at W1.98tn, reflecting: 1) weak vehicle sales due to production disruptions in 3Q26; 2) lower auto and finance business revenue following a decline in the quarterly average USD/KRW exchange rate (-6% QoQ); and 3) higher costs for key raw materials. The sharp decline in the quarter-end exchange rate (-12% QoQ) should reduce after-sales service expenses, although this benefit will likely be offset by the negative factors above.

New model benefits expected in 4Q26E–1H27E

In Korea, we expect higher ASPs as sales of the fully redesigned Avante and Tucson gain momentum and the GV80 HEV launches. In Europe, the IONIQ 3 should deliver solid sales given strong demand for electric vehicles in the B-SUV segment, although we expect it to dilute company-wide OPM.

Sharp drop in USD/KRW poses greater risk in 4Q than 3Q, and next year than this year

In 3Q26, the larger decline in the quarter-end exchange rate (-12% QoQ) relative to the quarterly average (-6% QoQ) should cushion the negative earnings impact from forex rates. However, assuming both the average and quarter-end exchange rates stand at W1,350 in 4Q26E, the average rate would fall 5% QoQ while the quarter-end rate would decline just 1% QoQ. This reversal would cause the negative impact on OP to become more pronounced.

Cut target price to W410,000; external factor drives P/E expansion

We lower our target price to W410,000, applying 2027E earnings estimates based on a USD/KRW assumption of W1,350. Historically, substantial non-organic earnings generated by won weakness justified a low P/E multiple. As relative won strength normalizes earnings, we now need to assess whether a higher P/E multiple, even without a change in the share price, can also be justified. Potential share price catalysts include: 1) a rebound in the USD/KRW rate; 2) a stronger-than-expected production ramp-up in 4Q26E; and 3) developments affecting Boston Dynamics' pre-IPO valuation.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	43,316	-7.3	-12.0	46,999	-7.8
OP	1,978	-22.1	-30.6	2,789	-29.1
Pre-tax net profit	2,397	-27.9	-34.2	3,510	-31.7
Net profit, CI	1,577	-30.3	-37.5	2,414	-34.7
OPM (%)	4.6	-0.8 %pt	-1.2 %pt	5.9	-1.3 %pt
NPM (%)	3.6	-1.2 %pt	-1.5 %pt	5.1	-1.5 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	175,231	186,254	185,846	192,265
OP	14,240	11,468	9,346	8,521
Net profit, CI	12,527	9,446	7,737	7,323
P/E (x)	4.2	4.6	8.9	9.4
P/B (x)	0.6	0.5	0.7	0.7
EV/EBITDA (x)	7.9	9.6	11.9	12.1
ROE (%)	12.4	8.4	6.5	5.8

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Hyundai Motor: quarterly and annual earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	44,408	48,287	46,721	46,839	45,939	49,215	43,316	47,376	186,254	185,846	192,265
Auto	34,718	37,609	36,715	36,590	34,538	36,833	32,597	36,678	145,632	140,646	144,865
Finance	7,398	8,214	7,189	7,432	8,991	9,504	8,300	8,205	30,233	35,000	37,000
Other and adjustments	2,292	2,464	2,818	2,817	2,409	2,879	2,419	2,493	10,390	10,200	10,400
OP	3,634	3,602	2,537	1,695	2,515	2,851	1,978	2,002	11,468	9,346	8,521
OPM	8.2%	7.5%	5.4%	3.6%	5.5%	5.8%	4.6%	4.2%	6.2%	5.0%	4.4%

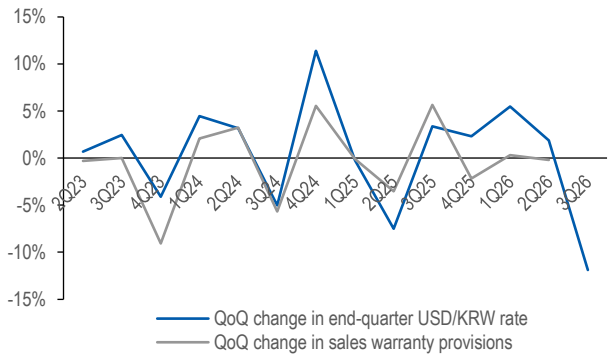
Source: company data, Yuanta Securities

Hyundai Motor: target price and valuation

	2027E
Auto business NOPAT (Wbn)	4,035
Target P/E	10.0
Finance business NOPAT (Wbn)	1,887
Target P/E	12.0
Other business NOPAT (Wbn)	468
Target P/E	9.0
Total fair value of business segments (Wbn)	**67,210**
Market value of Kia stake (Wbn)	14,567
Discount rate	30%
BD fair value (Wbn)	50,000
Ownership stake	28%
Discount rate	50%
Fair value based on BD stake (Wbn)	**6,961**
Fair market capitalization (Wbn)	**84,368**
Common shares outstanding (000 shares)	204,758
Target price (won)	410,000

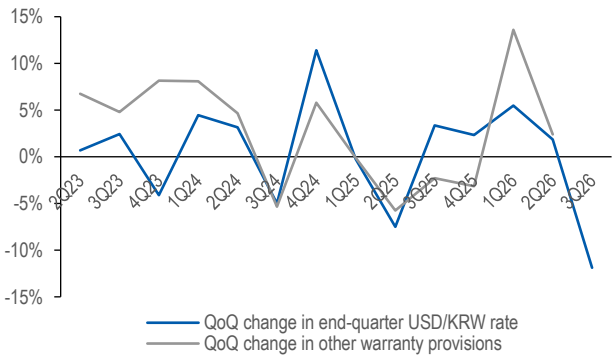
Source: Yuanta Securities

Sales warranty provisions of about W9.5tn in 2Q26 adjusted for sharp decline in USD/KRW



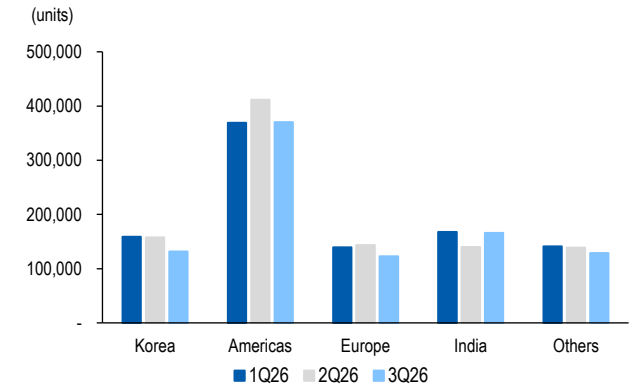
Source: company data, Yuanta Securities

Other warranty provisions of about W2.2tn in 2Q26 also adjusted for sharp decline in USD/KRW



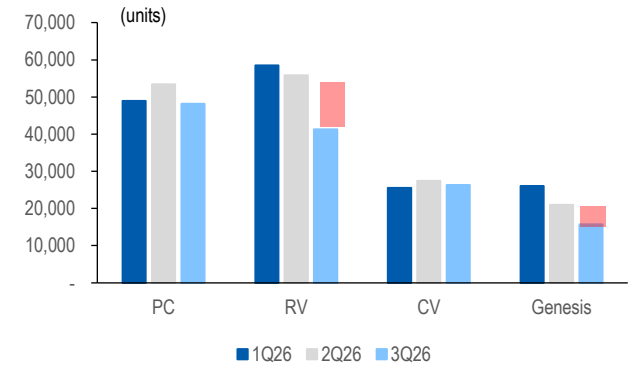
Source: company data, Yuanta Securities

3Q26 wholesale sales weak at 920,000 vehicles (-7.3% QoQ)



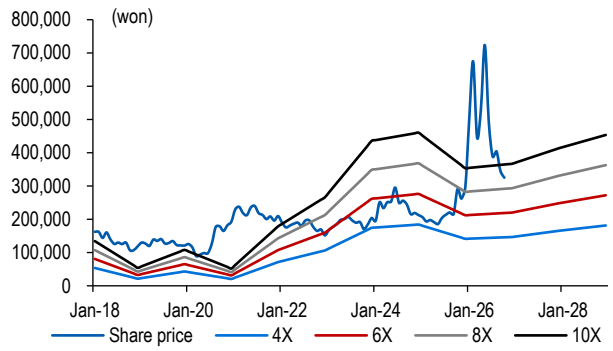
Source: company data, Yuanta Securities

Lower RV and Genesis sales shares in Korea also weigh on profitability



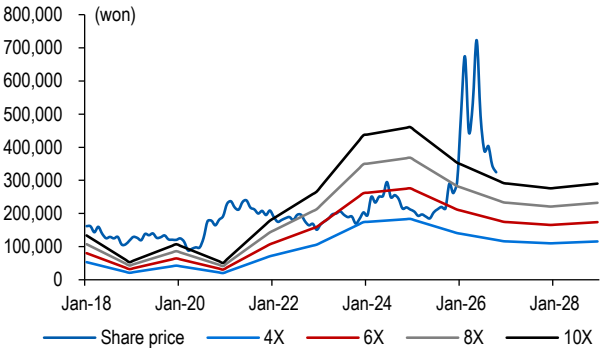
Source: company data, Yuanta Securities

Consensus P/E bands assume growth in annual EPS ahead



Source: FnGuide Quantiwise, Yuanta Securities

Decline in 2027E EPS in line with our forecast could lift multiple even without change in share price



Source: FnGuide Quantiwise, Yuanta Securities

Hyundai Motor (005380 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**175,231**	**186,254**	**185,846**	**192,265**	**197,256**
Cost of sales	139,482	152,038	154,177	159,955	164,032
Gross profit	35,749	34,217	31,670	32,311	33,223
SG&A	21,510	22,749	22,324	23,790	24,327
Operating profit	**14,240**	**11,468**	**9,346**	**8,521**	**8,896**
EBITDA	18,527	16,484	14,989	14,649	15,387
Non-operating profit	3,542	2,374	2,127	2,338	2,521
Forex gains	295	28	0	0	0
Net interest income	529	328	325	357	360
Equity-method gains	3,114	2,510	2,294	2,474	2,653
Other	-396	-492	-492	-492	-492
Net prof before income tax	17,781	13,842	11,473	10,858	11,417
Income tax	4,232	3,477	2,983	2,823	2,968
Net profit from continuing ops	13,549	10,365	8,490	8,035	8,449
Net profit from discontinued ops	-319	0	0	0	0
Net profit	13,230	10,365	8,490	8,035	8,449
NP for controlling interest	**12,527**	**9,446**	**7,737**	**7,323**	**7,700**
Total comprehensive income	18,255	11,082	9,207	8,752	9,166
Total comprehensive income, CI	17,100	10,191	8,467	8,049	8,429

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**115,764**	**120,777**	**125,598**	**126,947**	**126,355**
Cash & cash equivalents	19,015	18,361	23,514	23,304	21,367
Accounts receivables & other	10,320	13,886	13,420	13,883	14,244
Inventory	19,791	20,662	20,616	21,329	21,882
Non-current assets	224,034	248,067	253,339	259,153	263,905
Tangible assets	44,534	48,750	53,038	56,579	59,478
Investment in affiliates	34,644	37,906	37,823	39,129	40,145
Other investment assets	83,160	86,355	86,353	86,388	86,416
Total assets	**339,798**	**368,845**	**378,937**	**386,099**	**390,260**
Current liabilities	79,510	88,579	89,604	90,896	91,903
Accounts payable & other	30,057	32,426	33,477	34,356	35,044
ST financial liabilities	9,327	10,388	10,388	10,388	10,388
Liquid LT liabilities	26,742	33,761	33,761	33,761	33,761
Non-current liabilities	140,013	152,617	153,779	152,199	147,488
LT financial liabilities	24,286	24,340	26,340	25,340	21,340
Debentures	96,134	106,900	105,900	104,900	103,900
Total liabilities	**219,522**	**241,197**	**243,383**	**243,095**	**239,391**
Equity, controlling interest	109,103	115,447	122,599	129,338	136,454
Paid-in capital	1,489	1,489	1,489	1,489	1,489
Capital surplus	7,656	7,780	7,780	7,780	7,780
Retained earnings	96,596	101,312	107,748	113,769	120,167
Equity, non-controlling interest	11,173	12,202	12,954	13,667	14,416
Total equity	**120,276**	**127,648**	**135,554**	**143,005**	**150,869**
Net debt	**75,951**	**94,204**	**89,863**	**87,830**	**84,446**
Total debt	158,128	176,770	177,769	175,783	170,793

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**-5,662**	**-5,991**	**3,008**	**1,792**	**2,617**
Net profit	13,230	10,365	8,490	8,035	8,449
Depreciation & amortization	3,398	3,745	4,212	4,559	4,801
Forex gains	-13	30	0	0	0
Affiliate investment gains	-3,113	-2,514	-2,294	-2,474	-2,653
Increase in net working cap	-35,160	-34,325	-30,160	-31,228	-30,998
Other	15,997	16,709	22,760	22,899	23,020
Investing cash flow	**-14,623**	**-10,347**	**-11,218**	**-12,315**	**-11,693**
Investment	-3,371	-2,879	85	-1,342	-1,043
Increase in tangible assets	-8,061	-8,367	-8,500	-8,100	-7,700
Decrease in tangible assets	172	246	0	0	0
Other	-3,362	652	-2,803	-2,873	-2,950
Financing cash flow	**19,493**	**15,425**	**15,698**	**12,712**	**9,709**
ST financial liabilities	582	929	-1	14	11
Debenture/LT financial liabilities	31,507	17,695	1,000	-2,000	-5,000
Equity	3,278	124	0	0	0
Cash dividend	-3,913	-3,689	-1,301	-1,301	-1,301
Other cash flow	-11,961	366	16,000	16,000	16,000
Consolidation adj and other	640	259	-2,335	-2,399	-2,571
Increase in cash & equivalents	**-152**	**-654**	**5,153**	**-210**	**-1,938**
Beginning cash & equivalents	19,167	19,015	18,361	23,514	23,304
Ending cash & equivalents	19,015	18,361	23,514	23,304	21,367
NOPLAT	14,240	11,468	**9,346**	**8,521**	**8,896**
FCF	**-13,723**	**-14,358**	**-5,492**	**-6,308**	**-5,083**

Valuation

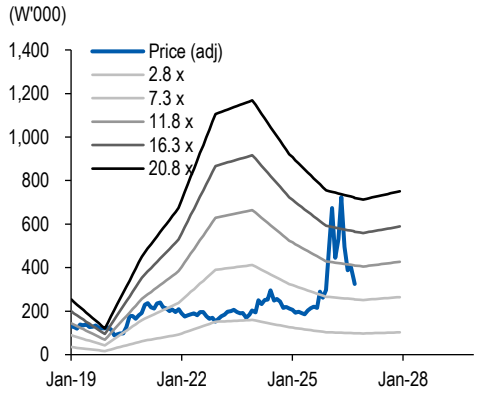
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	56,300	44,380	36,364	34,341	36,180
BPS (won)	413,568	443,519	470,999	496,888	524,223
EBITDA/shr (won)	68,094	61,656	56,478	55,199	57,979
SPS (won)	644,061	696,647	700,276	724,463	743,266
DPS (won)	12,000	5,000	5,000	5,000	5,000
P/E (x)	**4.2**	**4.6**	**8.9**	**9.4**	**9.0**
P/B (x)	**0.6**	**0.5**	**0.7**	**0.7**	**0.6**
EV/EBITDA (x)	**7.9**	**9.6**	**11.9**	**12.1**	**11.4**
P/S (x)	**0.4**	**0.3**	**0.5**	**0.4**	**0.4**

Key financial data

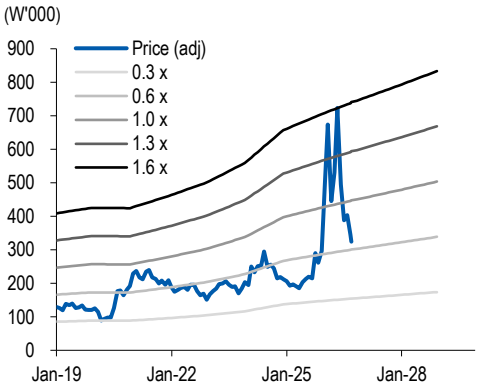
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**7.7**	**6.3**	**-0.2**	**3.5**	**2.6**
Operating profit (%YoY)	**-5.9**	**-19.5**	**-18.5**	**-8.8**	**4.4**
Net profit, CI (%YoY)	**4.7**	**-24.6**	**-18.1**	**-5.4**	**5.1**
Gross margin (%)	20.4	18.4	17.0	16.8	16.8
Operating margin (%)	**8.1**	**6.2**	**5.0**	**4.4**	**4.5**
Net margin, CI (%)	7.1	5.1	4.2	3.8	3.9
EBITDA margin (%)	10.6	8.9	8.1	7.6	7.8
ROIC (%)	27.7	18.0	13.0	10.9	10.5
ROA (%)	4.0	2.7	2.1	1.9	2.0
ROE (%)	**12.4**	**8.4**	**6.5**	**5.8**	**5.8**
Debt-to-equity (%)	182.5	189.0	179.5	170.0	158.7
Net debt-to-equity (%)	69.6	81.6	73.3	67.9	61.9
OP/financing cost (x)	31.5	20.0	15.4	14.1	15.0

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

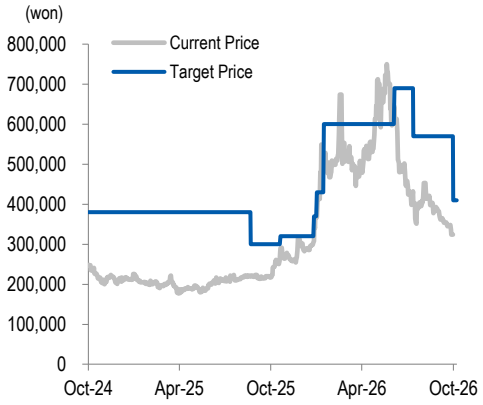
P/E band chart



P/B band chart



Hyundai Motor (005380 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/12	BUY	410,000	1 yr		
2026/07/24	BUY	570,000	1 yr	-32.63	-20.53
2026/06/16	HOLD	690,000	1 yr	-29.81	-10.43
2026/01/26	BUY	600,000	1 yr	-7.43	25.00
2026/01/12	BUY	430,000	1 yr	8.51	27.67
2026/01/06	BUY	370,000	1 yr	-4.77	-1.08
2025/10/31	BUY	320,000	1 yr	-12.47	-1.41
2025/09/02	BUY	300,000	1 yr	-23.76	-11.67
2025/09/01	BUY	380,000	1 yr		
2024/08/29	BUY	380,000	1 yr	-44.66	-31.84

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 12, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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